Unit V

MEASURING PROGRESS AND LEGAL MATTERS

MEASURING PROGRESS AND LEGAL MATTERS:

- Metrics for customer acquisition (CAC, CLV, and ARPU)
- Metrics for customer retention and satisfaction
- Find CAC, CLV and ARPU
- Key financial metrics
- Communicate metrics
- New revenue stream through key financial metrics
- Re-forecasting of financial plan
- Identify professional help for legal and compliance requirements
- Searching of trademark and brand name and company name.

❖Metrics for customer acquisition (CAC, CLV, and ARPU)

CUSTOMER ACQUISITION refers to gaining new consumers. Acquiring new customers involves persuading consumers to purchase a company's products and/or services

Tracking the metrics, Provides **insight into key aspects** of your business, including the success of your sales team, pricing strategy, and customer service. It also allows you to gain a deeper understanding of your finances, helping you to forecast and budget for future spending.

CAC, CLV, and ARPU

CAC = Customer Acquisition Cost

CAC is **the total cost of acquiring new customers**, which is calculated by adding up sales and marketing costs and dividing them by the number of new customers for a specific period. This metric represents one of the most important KPIs for investors

CAC, CLV, and ARPU

CLV = Customer Lifetime Value

The Customer Lifetime Value (CLV) shows us **how much money a customer will bring to the business on average over the entire time they remain a paying client**. … Knowing this metric is instrumental in planning how much we can invest in customer acquisition and retention.

CAC, CLV, and ARPU

ARPU = Average Revenue Per User

ARPU formula is to **simply divide the total revenue of your business by the total number of customers you have in a given duration**. Total number of customers should include only paying customers. Inactive or free users should not be a part of ARPU calculation, else it would give you a wrong figure.

❖METRICS FOR CUSTOMER RETENTION AND SATISFACTION

Customer Retention & Satisfaction Metrics is **a system that is formulated to tabulate the number of customers visiting a store in order to keep them coming back**. ... There are key retention metrics that have been set up to enable organizations to calculate the percentage of customers who are willing to purchase their products

Customer Churn Rate (CCR)

- **Customer Churn Rate** (CCR) refers to the percentage of customers who have stopped making purchases over a certain period of time.

  Being aware of the CCR will help you make the right moves to keep it as minimal as possible. This is because the lower it is, the higher the success of your business.

  It is calculated by dividing the number of customers you've lost by the number of customers you initially had. It is advisable to do this arithmetic on a monthly basis.

Repeat Purchase Probability (RPP)

- **Repeat Purchase Probability** (RPP) is essentially the assumption that a customer will buy more products. It is vital to know this figure because of its close relation to the churn rate. The more likely a customer is to make a second purchase, the lower the churn rate.

  Most customers will lose interest or find better deals from your competition.

Repeat Purchase Rate (RPR)

- **Repeat Purchase Rate (RPR)** is the percentage of customers who repeatedly buy products from our store.

  It is calculated by dividing the number of repeat customers by the total number of customers you receive.

  To ensure that this figure goes up, reward your loyal customers in order to strengthen their faith in your products.

Average Order Value (AOV)

- Average Order Value (AOV) quantifies the cash spent by consumers on each and every purchase made.

  It is a simple way to value the impact of individual customers based on the transactions they make.

  The more money a customer spends per purchase the cheaper it is to advertise. AOV is calculated by comparing the total revenue earned with the number of orders made. To improve revenue, in the long run, consider marketing your products in bundles.

Profitability per Order (PPO)

- Profitability per Order (PPO) is the measure of profit made on an individual purchase. It is directly proportional to the total profits made.

  It is calculated by multiplying your profit margin by the number of orders. A neat way to improve it is by displaying positive customer reviews of your products.

Purchase Frequency (PF)

- Purchase Frequency (PF) refers to how many repeat purchases are done by the average shopper. Unlike the repeat purchase rate, PF focuses on the average shopper instead of a specific one.

  High purchase frequencies generate more sales and subsequently more profits. It is calculated by dividing total annual orders by the number of unique customers in a year.

  A good way to improve the frequency is to send out personalized retention emails to your customers on a regular basis.

Time between Purchases (TBP)

- Time between Purchases (TBP) is the measure of sales made to a consumer in a year. It is useful to prep the customer and increases their interest in your products for the next big sale.

  It is calculated by dividing 365 days by your purchase frequency. A great tool to lessen the TBP is to make use of social media platforms.

- Customer Lifetime Value (CLV)

  Customer Lifetime Value is an estimation of how much money an average consumer will generate for your company over a certain period of time.

  Ideally, it is a projection of the benefits based on the relationship between the company and the customer.

- Redemption Rate (RR)

  Redemption Rate is the percentage of redeemed loyalty rewards. Customers only redeem points that they have collected over time when they deem the rewards valuable.

  It is calculated by dividing the total reward points by the number of issued points. To improve RR employ different and creative ways for customers to earn rewards.

❖FIND CAC, CLV AND ARPU

- **Customer Acquisition Cost** (**CAC**) is calculated by dividing all the Sales and Marketing costs involved to acquire a new customer within a certain timeframe. CAC is an important metric for growing companies to determine profitability and efficiency.

- CAC = (total cost of sales and marketing) / (# of customers acquired)

For example, if you spend 36,000 to acquire 1000 customers, your CAC is 36.

CAC = (36,000 spent) / (1000 customers) = 36 per customer

- **The most basic way to determine CLV** is to add up the revenue earned from a customer (annual revenue multiplied by the average customer lifespan) minus the initial cost of acquiring them.
- *(Annual revenue per customer * Customer relationship in years) – Customer acquisition cost*

- The **formula for calculating ARPU** is pretty straightforward. Simply divide the total revenue by the number of subscribers. Usually ARPU is calculated for either a monthly or annual time period, but it could be done for any interval.

  Notice that in the formula, we use the term *average* subscribers, as the actual number of subscribers can change constantly. So to come up with an accurate calculation, companies need to calculate (or at least estimate) the average number of subscribers during the time period

❖KEY FINANCIAL METRICS

Financial KPIs (key performance indicators) are metrics organizations **use to track, measure, and analyze the financial health of the company**. These financial KPIs fall under a variety of categories, including profitability, liquidity, solvency, efficiency, and valuation

- Earnings before interest and taxes (EBIT)
- Economic value added (EVA)
- Berry ratio
- Contribution margin
- Liquidity ratio
- Interest cover
- Days in accounts receivables
- Net cash flow
- Gross profit margin
- Transactions error rate

- EBIT: In accounting and finance, earnings before interest and taxes is a measure of a firm's profit that includes all incomes and expenses except interest expenses and income tax expenses

- **Economic value added** (**EVA**) is a measure of a company's financial performance based on the residual wealth calculated by deducting its cost of capital from its operating profit, adjusted for taxes on a cash basis.

- The Berry ratio is **the ratio of gross profit to operating expenses** and is named after American economist Professor Charles Berry, who first applied it in the transfer pricing court case E.I

- The **contribution margin** can be stated on a gross or per-unit basis. It represents the incremental money generated for each product/unit sold after deducting the variable portion of the firm's costs.

- Liquidity ratios **measure a company's ability to pay debt obligations and its margin of safety through** the calculation of metrics including the current ratio, quick ratio, and operating cash flow ratio

- The **Interest Cover** is a measure of how many times a company can pay its Interest Expenses from its Earnings. It is calculated as Operating Profit divided by the Inerest Expense.

- Accounts receivable days is a formula that helps you work out how long it takes to clear your accounts receivable. In other words, it's **the number of days that an invoice will remain outstanding before it's collected**.

- Net cash flow refers to **either the gain or loss of funds over a period** (after all debts have been paid). When a business has a surplus of cash after paying all its operating costs, it is said to have a positive cash flow.

- Gross profit margin is a metric analysts use to assess a company's financial health by calculating the amount of money left over from product sales after subtracting the cost of goods sold (COGS). Sometimes referred to as the gross margin ratio, gross profit margin is frequently expressed as a percentage of sales.

- The transaction error rate is **the percentage of processing errors that an accounting department generates**. ... The transaction error rate is useful as a free-standing measure of performance in any department, since the time of senior staff in any department may be required to correct transactional errors

❖COMMUNICATE METRICS

- It's important to assess whether or not you're implementing internal **communications** best practices for your business. That's where **KPIs** for internal **communications** come in. **KPIs**, or **key performance indicators**, are quantifiable values that can tell you what's working—and what's not—for your business

KPIs to Measure for Internal Communication Success

- Set a baseline. You'll need to figure out what you're measuring to determine the effectiveness of your current efforts. ...
- Responses and Feedback. If you aren't already surveying your employees, now is the time to start. ...
- Track Engagement. ...
- Turnover. ...
- Reach. ...
- Employee Advocacy.

NEW REVENUE STREAM THROUGH KEY FINANCIAL METRICS

Types of Revenues

- To classify revenues at a high level, there are **operating revenues** and **non-operating revenues**.
- **Operating revenues** describe the amount earned from the company's core business operations. Sales of goods or services are examples of operating revenues.
- **Non-operating revenues** refer to the money earned from a business's side activities. Examples include interest revenue and dividend revenue.

For the majority of companies, the following are a few common revenue accounts:

- **Revenue from goods sales or service fees:** This is the core operating revenue account for most businesses, and it is usually given a specific name, such as sales revenue or service revenue.
- **Interest revenue:** This account records the interest earned on investments such as debt securities. This is usually a non-operating revenue.
- **Rent revenue:** This account records the amount earned from renting out buildings or equipment, and is considered non-operating revenue.
- **Dividend revenue:** The amount of dividends earned from holding stocks of other companies. This is also non-operating revenue.

Examples of Revenue Streams

Revenue streams categorize the earnings a business generates from certain pricing mechanisms and channels. A revenue stream can take the form of one of these revenue models:

- **Transaction-based revenue:** Proceeds from sales of goods that are usually one-time customer payments.
- **Service revenue:** Revenues are generated by providing service to customers and are calculated based on time.

  For example, the number of hours of consulting services provided.
- **Project revenue:** Revenues earned through one-time projects with existing or new customers.
- **Recurring revenue:** Earnings from ongoing payments for continuing services or after-sale services to customers. The recurring revenue model is the model most commonly used because it is predictable and it assures the company's source of revenue as ongoing. Possible recurring revenue streams include:
  - Subscription fees (e.g., monthly fees for Netflix)
  - Renting, leasing, or lending assets
  - Licensing content to third parties
  - Brokerage fees
  - Advertising fees

❖RE-FORECASTING OF FINANCIAL PLAN

- Re-forecasting is the process of revising the existing budget holistically after a significant deviation from projected spending or income. The newly created revised budget will rely on both year-to-date results as well as projections for the remaining fiscal year.

  Re-forecasting is needed when significant deviations are observed between budgeted items and actual items. Hence, review is needed for the initial forecasts.

- Examples of situations that warrant re-forecasting of budgets
- Losing an essential business partner
- A warehouse or office fire
- A lawsuit
- Major supply chain disruptions
- A change to state or federal regulations
- Being turned down by an investor that was expected to provide funding
- The loss of a major grant for a non-profit organization

- **Advantages of Re-forecasting of financial plans**

  Re-forecasting is intended to keep an organization on track. When timely reforecasting of the budget is not done then it will result in erosion of confidence in the budget resulting in wasteful expenditure and stunted growth.

IDENTIFY PROFESSIONAL HELP FOR LEGAL AND COMPLIANCE REQUIREMENTS

- Legal compliance is the process by which a company adheres to the complex rules, policies and processes that regulate business practice in a particular jurisdiction.

difference between compliance and legal

- An effective compliance program relies heavily on co-operation and support from an organization's legal department.

While legal professionals advise on the law and best legal practice, it is the role and responsibility of compliance professionals to develop the compliance controls, procedures, policies and systems to ensure that the company operates within clearly defined parameters.

steps for evaluating legal compliance

Step 1: Know the regulation

The first step, applicable to all businesses, is do your research: Know the regulations in your industry and jurisdiction, understand what's required of your entity in relation to that regulation, and make plans for how you can fulfil those requirements. Make sure you consider all aspects, including, among others:

- Data protection
- Cybersecurity
- Health and safety
- Environmental responsibilities and ESG
- Financial and accounting requirements
- Employment law
- Tax law
- Advertising regulation, and, of course,
- Corporate law, such as the U.S. federal sentencing guidelines for organizations.

Step 2: Clarify your reporting duties

- Reporting requirements will differ depending on the sector, industry and jurisdiction in which your organization operates.

Step 3: Take stock of policies

- All legal compliance policies that you put in place need to be closely adhered to and remain up to date. While evaluating legal compliance, check that your policies are still fit for purpose.

Step 4: Check your records

- Ensure all record keeping within the organization and across all entities is strong, that your compliance teams know what to keep a record of, and that it's stored safely in an easy-to-access central repository; the quality of records is integral to successful legal compliance evaluation.

Step 5: It's not just about laws

- It's essential to also consider non-legal requirements when evaluating your organization's compliance. Has the company signed up to any industry codes of practice? Are operations following all ethical guidelines? Do you remain compliant with the requirements of any licensing, funding or tenancy agreements? Cast your net wider when taking the steps to evaluate legal compliance and make sure that you're getting the full picture of your company's compliance health.

Step 6: Remember your employees

- Compliance policies and processes will fail without clearly communicating these requirements to everyone in the organization. Ensure all employees, from Board level downwards, know and understand their responsibilities when it comes to compliance: organize training and education programs, and schedule regular check-ups, to make sure everyone is fully on board.

Step 7: Schedule regular compliance checks

- An easily missed step for evaluating legal compliance is the scheduling of regular checks throughout the organization

❖SEARCHING OF TRADEMARK AND BRAND NAME AND COMPANY NAME.

- **TRADEMARK SEARCH:**

  A symbol, word, or words legally registered or established by use as representing a company or product.

A search acts as a preemptive measure to ensure that the same mark or a similar mark is not already in use by others. Conducting a trademark search is part of the application process to register a trademark

If there are other marks that Look the same as (or similar to) yours, for the same (or similar) goods or services, or Sounds the same as (or similar to) yours for the same (or similar) goods or services pick an alternate from your list or make changes or alterations to your trademark to differentiate your trademark from other known trademarks.

- Searching Brand:

- Branded search is, quite simply, results shown when you search for your brand name. A branded keyword, or a branded search, is **any query via a search engine that includes the name of your company, business or brand.**
- The use of your brand name in a search shows that the user already knows who you are, or has heard of you, and is looking for your company specifically. That means they want to go directly to your website, which is why you want to rank at the top of a search results page for branded search.

If you are not ranking highly for your branded search, an SEO agency can help you identify why. There could be a number of reasons and they range in complexity:

- Your site isn’t indexed
- You are in competition with another brand of the same or similar name
- Your site hasn’t been properly optimized (ineffective SEO)
- You have multiple brand names
- You use an acronym for your brand name which could be used by another company or entity
- You haven’t made your brand name clear on your website

Searching company Name:

A company name has incredible power to lend credibility, assure quality and set customer expectations.

- A company name represents what your brand stands for. Names create an identity that people can associate with. Given the importance of a company name, it is time you put time and effort in naming your company.
- The MCA (Ministry of Corporate Affairs) has a regulatory framework set up that you have to consider while naming your company. If your company name does not fall under the set of rules given by MCA, your application might be rejected. Already have a name in mind? Search the MCA database to check company name availability here. Search

Things to keep in mind while choosing your company name.

- **Keep an eye out for trademarked** - The proposed name, in any case, should not be identical to any existing company's name, or a registered trademark*, or a trademark already in the process of registration.
- For example, 'ebay' is an existing company name. The MCA will not approve the name 'ebae' even though the spelling is different.
- **A common problem** - Do not add common words like New, Modern, Nav, Shri, Sri, Shree, Sree, Om, Jai, Sai, The, etc. to an existing company name. It will get rejected.
- **A place to ignore** - If your company name is different from the name of an existing company only by adding the name of the place, MCA will not approve.
- **Get mandatory regulators approval** - If your company name includes words like 'Insurance', 'Bank', 'Stock Exchange', 'Venture Capital', 'Asset Management', 'Nidhi', 'Mutual fund', etc., you are required to get formalities mandated by respective regulators such as IRDA, RBI, SEBI, MCA, etc., depending on the word.
- **'State' is out of the question** - Never use the word 'State' while naming your company. Only government companies have the authority to use the word 'State' in their names.
- **Don't copy and paste** - A company name that is an exact Hindi translation of an English name for an existing company will not be allowed. For example, Ace Aam Producers will not be approved if a company named Ace Mango Producers already exists.